



October 21, 2022

William Cody
Secretary
Federal Maritime Commission
800 North Capitol Street NW
Washington, DC 20573-0001

Re: Docket No. 22-24; Notice of Proposed Rulemaking - Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier

Dear Secretary Cody:

The Meat Import Council of America, Inc. (MICA) and the North American Meat Institute (NAMI or the Meat Institute) appreciate the opportunity to submit comments in response to the Federal Maritime Commission's (FMC) above referenced *Notice of Proposed Rulemaking - Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* (Docket No. 22-24).

MICA is an incorporated trade association representing the U.S. industry that imports fresh, chilled and frozen beef and sheep meat into the United States. MICA's regular members are importers who account for most of the non-North American imports of this product as well as port authorities, refrigerated warehouses, customhouse brokers, truckers and draymen, etc. who provide services in connection with this imported product.

The Meat Institute is the United States' oldest and largest trade association representing packers and processors of beef, pork, lamb, veal, turkey, and processed meat products, and NAMI member companies account for more than 95 percent of U.S. output of these products. The Meat Institute provides legislative, regulatory, international affairs, public relations, technical, scientific, and educational services to the meat and poultry packing and processing industry.

Meat and poultry imports and exports, along with other perishable commodities, are unique in that they have inherent and unavoidable risks and burdens on their supply chains such as product spoilage and heightened governmental oversight that may not apply to other shipped goods. Over the past few years, shippers have borne the brunt of ocean carrier decisions to unreasonably bypass U.S. ports and refuse or cancel bookings, often with little or no warning. In many instances, meat

and poultry shippers have been forced to discard product whose shelf life has expired or downgrade higher-value products to lower-value products due to the unpredictability injected into their supply chains resulting from these substandard ocean carrier practices. The costs, in terms of punitive fees assessed on shippers due to no fault of their own and lost revenue resulting from spoiled and downgraded products, run in the millions of dollars and have at times rendered trade nearly impossible for many companies. The refusal of ocean carriers to accommodate cargo that can be safely transported also exacerbates existing equipment challenges, as product sits idle in marine terminals, while importers, exporters, and inland ports struggle to acquire the containers necessary to move product to its intended destination. Therefore, MICA and NAMI strongly support the FMC's efforts, pursuant to the Ocean Shipping Reform Act of 2022, to prohibit ocean common carriers from unreasonably refusing to deal or negotiate with respect to vessel space accommodations and other related activities.

The U.S. meat industry's reputation as a reliable supplier of high-quality meat and poultry products to markets around the world has been undermined by ocean carriers' proclivity to decline to carry U.S. agricultural commodity exports, including meat and poultry exports, instead choosing to hasten empty containers to Asian markets to fill them with more lucrative consumer goods. Meat and poultry exporters have consistently reported that ocean carriers have categorically excluded their cargo from backhaul trips, not because of safety concerns or a lack of space, but simply due to a vested commercial interest in earning a higher premium resulting from the carriage of finished consumer goods back to the U.S. as opposed to fulfilling previously agreed upon contracts that would have carried agricultural commodities to customers in key Asian markets.

In some instances, common carriers collected freight rates as high as \$20,000 per container to carry cargo from Asia to the U.S., while containers carrying U.S. agriculture exports earn on average \$1,800. Typically, containers filled with imported goods are unloaded, sent to rural areas in the U.S. to receive agricultural commodities, and shipped to foreign export markets. By electing to send empty containers back to their points of origin rather than carry U.S. exports, ocean carriers are wielding enormous power in dictating which cargo is carried, to the disadvantage of U.S. meat and poultry exporters, and are inflating freight rates. While these decisions made by the common carriers may be reasonable with regard to their own business interests, they are unreasonable from the perspective of the wider U.S. agricultural economy.

Export data underscores the challenges meat and poultry shippers face. Seventy-five percent of U.S. waterborne beef exports and 50 percent of U.S. waterborne pork exports in 2022 are shipped from West Coast ports, primarily from Oakland and Los Angeles/Long Beach. However, U.S. chilled beef and pork exports – some of the most lucrative products – to high-value markets like Japan and South Korea slowed, as blank sailings rose and ocean carriers increasingly canceled meat and poultry export bookings for the aforementioned unreasonable commercial reasons. In fact, Japan and South Korea's imports of chilled beef peaked in July and August 2021, respectively, reflecting declining sales in 2022, as premiums for U.S. chilled beef destined for Japan fell 43 percent this July compared to 2021 prices. U.S. chilled pork exports have contended with similar challenges, declining 22 percent to Japan this year compared to 2021, for example. Because ocean carriers have established a pattern of skipping ports, canceling export bookings, and refusing to carry certain perishable meat and poultry exports, shippers have had to shift production from chilled to frozen product to account for longer transportation timelines, yielding significant financial implications, as frozen product earns a lower premium than chilled meat.

Furthermore, insufficient information shared by ocean carriers, most notably pertaining to vessel schedules and space availability, complicates shippers' ability to identify alternate routes or means of transportation for their products, which in most cases is cost-prohibitive, and heightens existing uncertainty throughout the supply chain. Meat and poultry exporters consistently report that ocean carrier information is either inaccurate or nonexistent making it extremely difficult, if not impossible, for exporters and their partners to respond in a timely, cost-efficient manner to impediments presented by ocean carrier actions. In fact, ocean carriers often cancel meat and poultry export bookings up to the sailing date with no warning to shippers. This dearth of transparent, prompt information unduly burdens U.S. shippers who must contend with the often costly and logistically-perilous decision of shifting product to alternate ports, when possible, or seek ever-shrinking cold storage accommodations while their product awaits shipment. The rise in blank sailings, provided with almost no notice, and the inability of meat exporters to access reliable data regarding container availability, port capacity, and other essential indicators, leaves product idling, sometimes for weeks or months, collecting punitive fees and, increasingly, spoiling. To fill the void vacated by U.S. exports in key markets, particularly in Asia, once-dependable U.S. customers are now sourcing products from Europe, Australia, and elsewhere, further demonstrating the serious, detrimental consequences for the competitiveness of U.S. products.

In addition, unreasonable failure to deal or negotiate in tangential areas related to the carriage of goods, such as the failure to deal or negotiate on detention and demurrage fees, has also been a major problem for importers and exporters of meat and poultry products that should be addressed in this rulemaking. As a matter of practice, it is common for phone calls, emails, and other communications from importers and exporters to go unanswered by the carriers when cargo owners attempt to challenge or dispute incorrect, unfair, or unreasonable detention and demurrage fees. The carriers tout internal dispute resolution mechanisms as an avenue available to cargo owners in order to resolve these disputes, yet in practice these avenues are largely ineffective and result in a default refusal to deal. Messages sent by cargo owners to specified email addresses or voicemails left on dedicated phone lines are routinely ignored or go unanswered, leaving the cargo owners with little recourse to deal or negotiate with the carriers. In cases where a carrier may be holding cargo until an invoice is paid regardless of its validity, the lack of a clear channel of communication to challenge the billing statement is unconscionable and should be addressed by the FMC as part of this and other related rulemakings.

For the foregoing reasons, we believe the proposed rule appropriately sets forth a framework that would require ocean carriers to justify the reasonableness of their refusal to deal, although we wish to see some additional modifications. Shifting the burden of proof from the shipper to the common carrier to justify their decision not to deal in these cases is prudent for reasons already stated, but the proposed rule must also consider whether the ocean carriers have met this burden by engaging in good-faith communication and negotiation to ensure their business decisions are objectively fair and consistently applied. Too often, meat and poultry exporters report that ocean carriers not only unreasonably refuse vessel space accommodations, but also that these same carriers fail to simply reply to emails, phone calls, and other outreach about their decisions. In some cases, ocean carriers take months to reply – leaving product stranded and commercial contracts unfulfilled – and in other instances, meat and poultry importers and exporters assert that ocean carriers never respond to their good-faith attempts to resolve shipping disputes. These actions are clearly unreasonable.

Furthermore, within the constructs of this proposed framework, NAMI and MICA believe the FMC's historical recognition of deference to a "party's reasonable business decisions" (page 57677) should be reconsidered. We are concerned that with this discretion, the FMC will default to the current status quo as common carriers will assert reasonable – not unreasonable - business decisions were made from the perspective of their own operations, and the FMC will ultimately defer to the current standard. We believe the FMC needs to take an active role in determining what is in the public's interest versus the private interest of the common carrier, which in our view is what Congress intended in the Ocean Shipping Reform Act of 2022. We appreciate the challenge put on FMC to articulate and enforce this nuanced difference in this standard, but it is critical to ensuring this proposed rule retains its regulatory legitimacy. As such, when finalizing this proposal, we recommend that the FMC clarify the Commission's position on deference or remove the reference altogether.

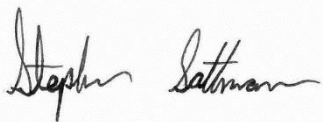
An efficient, dependable transportation network has always been essential to America's agricultural economy and trade-dependent meat and poultry industry. A reliable, transparent ocean freight transportation system is crucial to this network, and this proposed rule, once finalized and implemented with identified changes, will curb some of the most egregious and costly practices perpetrated by ocean carriers. Commercial convenience, upon which ocean carriers have acted and which is expressly prohibited by this rule as justification for establishing reasonableness, has been the main impetus behind refusing the carriage of meat and poultry products in favor of consumer goods awaiting export from Asia to North America. This occurs even when vessels can safely accommodate export product and are traveling to the product's intended destination. The added oversight and associated requirements placed on ocean carriers around justifying reasonableness and engaging in good-faith negotiations will not only yield important benefits for the carriage of meat and poultry imports and exports, but will also improve related factors, including communication, information sharing, equipment availability, and terminal and cold storage space.

For the foregoing reasons, MICA and NAMI support the FMC's efforts to expeditiously adopt and ensure strong enforcement of the provisions outlined in this proposed rule with the highlighted modifications. Thank you for your consideration of these comments.

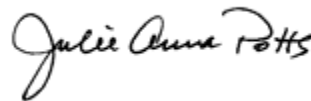
Respectfully submitted,

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